

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

Panda & Cat is a partnership in Hong Kong producing electronic parts and utilities, like batteries. It has been operating as a partnership for more than ten years. Recently, the partners of Panda & Cat would like to change the partnership to a limited company called Panda & Cat Company Limited.

Required:

Explain to the partners of Panda & Cat the advantages and disadvantages that they need to be aware of when setting up Panda & Cat Company Limited.

(10 marks)

Question 2 (10 marks – approximately 18 minutes)

Schein Company Limited ("Schein") is a luxury brand in the automotive industry. It manufactures and sells high-end, high quality, unique, and trendy cars to consumers. Schein emphasises that all its cars can reflect users' unique character. In order to maintain the high quality of cars, total quality management ("TQM") has been implemented for more than five years at Schein.

Required:

(a) Identify and explain the most suitable market targeting strategy that can be adopted by Schein.

(4 marks)

(b) Describe any THREE basic principles of TQM.

(6 marks)

Question 3 (10 marks – approximately 18 minutes)

Kabuki Toys Company Limited ("Kabuki") is a toy company that has been in Hong Kong for more than 15 years. Kabuki was listed ten years ago, and now, the top management has decided to expand the scope and operation of the company. Thus, they have asked the Finance Manager to give them information about the sources of money for the company expansion. Currently, they have to select from short-term finances or long-term finances.

Required:

- (a) Illustrate TWO differences between short-term finance and long-term finance. (4 marks)
- (b) Kabuki has decided to adopt long-term finances. Summarise THREE potential ways of long-term finances that the company can select. (6 marks)

Question 4 (10 marks – approximately 18 minutes)

Romeo and Juliet is a start-up café newly established in town. Recently, it has opened several branches located in Sheung Wan, Stanley, and Causeway Bay. To manage the daily operation and large amount of part-time employees of the café, the owners have to meet every month to discuss the potential threats and risks that the café may be facing.

Moreover, in order to prepare for future expansion, the owners must also consider producing some new products that can be sold in the café. The owners have already generated some ideas of the new products but need to proceed to a feasibility study in the next two years.

Required:

- (a) Explain what are operational risks. (2 marks)
- (b) Illustrate TWO examples of operational risks related to this café. (2 marks)
- (c) Describe THREE main issues that have to be addressed in the feasibility study in the product development process of the start-up café. (6 marks)

Question 5 (20 marks – approximately 36 minutes)

Thomas has been working as a technician for a Chinese-based firm for more than three years. Recently, the company turned all hourly-rate positions into monthly-rate positions. Some employees have complained that they made more money when they were hourly employees because they were paid for overtime. But now with this change in the pay structure, overtime payment is cancelled.

Thomas's pay was based on an hourly wage, and he would often work long hours and overtime but with average performance only. Therefore, he seems demotivated because of the newly changed pay structure. Moreover, his supervisor always gives harder tasks to him, which require him to spend more time to work on them. Since he always spends more time on his tasks, some of his colleagues thought that he did not have the capability of performing the tasks and always looked down on him.

Thomas's direct supervisor decided to provide him with training to support his work. In view of Thomas's possible incapability of performing some new tasks, the direct supervisor has assigned a senior employee to provide him with guideline and support. In the meantime, Thomas will also act as an assistant to observe and learn from some senior employees in the company. Those senior employees act like a mentor for all junior people.

Required:

- (a) Define "wages" and "salaries".**

(2 marks)
- (b) Describe Herzberg's Two-Factor Theory and then explain why Thomas is demotivated based on Herzberg's Two-Factor Theory.**

(12 marks)
- (c) Describe what types of training programmes are provided by Thomas's direct supervisor.**

(6 marks)

Question 6 (20 marks – approximately 36 minutes)

Mr Wong is a fan of Japanese anime figures and characters. Thus, he sets up a Japanese anime café in which there are lots of different Japanese anime characters in the café and customers can cosplay with the costumes provided in the café. Also, there are places for customers to take photos, and some products, like biscuits and accessories related to the characters, are sold in the café.

This is quite new in Hong Kong and, thus, Mr Wong has decided to spend more resources in promoting this new concept to the Hong Kong youth who love Japanese anime. Moreover, he wants to provide excellent and consistent service to the customers. Therefore, there are several implementations in operating the café:

1. Customers need to make a reservation before going to the café in order to make sure they have seats.
2. Customers need to use the tablet provided by the café to decide which Japanese character they want to cosplay and to order the food. Once the order is received, the café can provide the costume and the food. This is to ensure consistency and accuracy when taking orders.
3. The café will develop a website and app to provide recent news and promotional food items or newly introduced costumes for the customers.
4. The food and costumes ordered will be delivered to the customers in 15 minutes in order to reduce waiting time.
5. Customers can interact with the staff in the café. For example, there are places for them to take photos or even cosplay.
6. Comment cards are placed on each table, and questions like "Will you recommend your friends or family members to come?" are included.
7. Because of heavy interaction with the customers, good employees who can provide excellent service will be selected to act as trainers to train and share tips about interaction with customers.

Mr Wong is considering entering mainland China market because of its huge population and demand for Japanese anime.

Required:

- (a) Explain which stage does this Japanese anime café belong to based on product life cycle, and interpret its implications to Mr Wong when running this café. (4 marks)
- (b) Illustrate THREE service concepts for this Japanese anime café. (9 marks)

(c) Identify **THREE** market entry methods to mainland China.

(3 marks)

(d) Based on the answer in 6(c), explain which **ONE** should be an appropriate entry method for this Japanese anime café to enter mainland China with reference to the case information.

(4 marks)

* * * END OF EXAMINATION PAPER * * *